
GREECE

2006

1. Review of the system

1.1. *Average Worker Wage (AW)*

For the year 2006 the average gross income of a worker is 15301¹ Euro.

2. Unemployment Insurance

The unemployment insurance system covers persons who are insured against diseases with a social insurance body. The benefits are divided into regular benefits and special allowances. This programme is targeted on employees that became unemployed against their will and are not capable of finding a job relevant to their qualifications.

2.1 *Condition for receipt*

The person must be capable of and available for work

The person must be unemployed unwillingly

The person must have registered with an employment agency.

The person must not receive a pension equal to or larger than the minimum pension granted by IKA (Social Insurance Institute)

The person must not be self-employed.

2.1.1 *Employment conditions*

125 days of employment in the last 14 months prior to applying for the benefit, or

200 days of employment in the last two years prior to applying for the benefit

The persons applying for the benefit for the first time must have worked for at least 80 days per year in the last two years prior to their application.

2.1.2 *Contributions conditions*

The system is contributory. The contributions made to the OAED (Manpower Employment Organization) are paid both by the employer and the employee.

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

Article 12 of Act 2224/94 stipulates that:

“The basic benefit amounts to 40% of the daily wage or, in case of salaried employees, to 50% of their salary, on condition that the benefit will not be less than 2/3 of the daily wage of the unskilled worker or larger than the amount each time defined by Decision of the Minister of Employment, upon recommendation made by the Administration of the OAED”.

The basic daily benefit and the monthly one amount to 12,45Euro and 311,25Euro respectively. The largest daily benefit and the largest monthly benefit amount to 13,17Euro

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2005-2006, OECD, 2007, part 5, sections 2 and 3.

and 329,25Euro respectively. The benefit is paid for 25 days a month. There is an increase of 10% for each dependant.

2.2.2 Income and earnings disregards

None. The payment of the benefit is interrupted in case there is an income from commercial businesses or liberal professions.

The payment of the unemployment benefit may be combined with a part time employment in case the monthly remuneration of the worker for his/her part-time job is less than the approved amount of the monthly unemployment benefit. But in this case, the OAED will offset the amount paid as benefit with the amount received as salary for the part-time job and it will pay the difference to the beneficiary.

In case the beneficiary's monthly remuneration for his/her part-time job exceeds the amount of the monthly unemployment benefit, the payment of the benefit is suspended due to the taking up a post. This regulation has been applied since beginning of 1990.

2.3 Tax treatment of the benefit

No taxation is imposed on the benefit.

2.4 Benefit duration

Following a waiting period of six days the benefit is paid during a period depending according to the worker's employment background:

Days of employment	Duration (months)
125-149	5
150-179	6
180-219	8
220-249	10
250 or more	12
210 days and 49+ years old	12

In all cases the payment of the benefit is of 12 months duration, if the applicant has actually worked for 4050 days or more.

2.5 Treatment of particular groups

2.5.1 Young persons

Benefit paid to young persons (aged 20-29)

The benefit is paid to young persons, on condition that these are unemployed and remain included in the list of the unemployed for one year. The benefit amounts to 73,37Euro per month and **increases by 5,87Euro** for each dependant (child-spouse), and is paid for a period of 5 months. The benefit aims to support new entrants into the labour market.

Family status	Amount (in Euros)
Single parent	73,37
Couple	79,24
Either single parent or a couple with children	5,87 for each child

2.5.2 Older workers

The unemployed aged persons that are older than 65 years old are granted a pension, which is equal to the basic pension granted by the OGA (Agricultural Insurance Institute). The OGA grants the said pension on order of the Ministry of Employment.

The amounts of pensions granted to uninsured persons by the OGA in the year 2006 are as follows:

227,75Euro granted to persons without family burden

230,85Euro granted to persons with a spouse under 65 years of age

233,95Euro granted to persons with children under 18 years of age and a spouse over 65 years of age who does not receive a pension.

3. Unemployment Assistance

3.1 Special aids (Conditions and duration)

3.1.1 Special aid after the end of payment of the unemployment allowance

A special allowance, which comprises 13 basic daily wages of the unemployment benefit (today it is 12,45Euro), is paid to the unemployed who are not temporarily employed following the end of payment of the unemployment benefit, on condition that they remain unemployed and their family income does exceed a fixed amount (7.923,70Euro for the year 2006). It is increased by 10% for every dependent and it is granted as a lump sum amount a month after the end of the payment of the regular unemployment allowance (unemployment benefit).

3.1.2 Special aid after a three-month registration in the unemployed persons list

It is paid to the unemployed, who do not have the prerequisites for a regular benefit (not seasonal workers) and have actually worked for at least 60 days in the year prior to that in which they registered with the OAED. These persons must remain unemployed (registered with the OAED) for 3 months. The benefit is paid every three months in three separate installments in the same year. The payment consists of 15 daily wages of the unemployment benefit, on condition that their family income does not exceed 7.923,70Euro.

3.2 Income and earnings disregards

None. The payment of the benefit is interrupted in case there is an income of more than 7.923,70Euro coming from any source.

3.3 Tax treatment of benefit

No taxation is imposed on special allowances.

3.4 Treatment of particular groups

3.4.1 Young persons

A benefit granted to young persons (aged 20-29).

The benefit is granted to young persons, on condition these are unemployed and remain registered as unemployed for one year. The benefit amounts to 73Euro per month and is paid for a period of five months. It aims to support the new entrants into the labour market.

3.4.2 Long-term unemployed people

The OAED grants a benefit to the long-term unemployed.

Long-term unemployed persons are considered those persons between **45 and 65 years of age**, who have been unemployed for twelve consecutive months, remain registered as unemployed with the OAED and have already enjoyed the right to receive, on a regular basis,

a benefit for twelve months. Also, the yearly family income must not exceed 5.000Euro. The said income increases by 587Euro for each under-aged child.
The benefit amounts to 200Euro and is paid for twelve months.

3.4.3 Seasonal aid

This aid is offered to persons belonging to occupational groups employed on a seasonal basis (construction workers, tobacco workers, actors, tile makers, forest workers, musicians, etc). The aid is paid on a yearly basis in the period from 1 October to 20 December. The following prerequisites must be fulfilled:

The applicant must have actually worked for 50 – 210 days, as the case may be, in the pertinent branch in the year prior to the year of payment

The applicant must not have actually worked for more days in branches other than the pertinent one in the previous year

The total of daily wages in any work must not exceed 240

The applicant must not fulfill the preconditions for regular benefit in the period in which the seasonal aid is paid.

3.4.4 Worker laid off due to insolvency of the employer

The OAED keeps an independent account called “Account for the protection of workers against employers’ insolvency”. The said account aims to pay up to three months earnings unpaid, due to the employer’s insolvency, as provided for in a contract of employment or a dependent working relationship.

4. Social assistance

No general framework exists, but there are provisions regarding persons in great need. The Ministry of Health and Social Solidarity applies 11 financial assistance (subsidy) programmes for persons with disabilities depending on the type, the category or the percentage of disability.

According to the provisions of Act1140/1981, as well as of the Joint Ministerial Decision No61384/6138/19-5-1983 of the Ministers of National Defense, of the Interior, of Justice, of Finance, of Health and Social Solidarity and of Public Order, as it has been amended and is applied, the Ministry of the Interior finances the first-degree Local Self-Government Agencies (OTA) so that they might cover the benefit granted to quadriplegic and paraplegic persons employed in the OTA, as well as to members of their families suffering from the said diseases.

During 2005, and, in accordance with data made available by the OTA, 44 OTA were financed with 443.168,00Euro, while during the current year (July 2006), 43 OTA have already received 309.909,00Euro. The said credits are provided for in article 25 of Act1828/89.

5. Housing benefits

5.1 Conditions for receipt

The Workers' Housing Agency (OEK) beneficiaries, in order to receive the rental subsidy, must fulfill the insurance, as well as other, prerequisites provided for in the Regulation called "Prerequisites for the granting of houses or loans by the OEK", i.e. they must have actually worked for a specific number of days, depending on their family composition, and neither they themselves nor any dependent member of their family must own a house or possess other assets, which might secure their housing.

The status of being a pensioner is the only precondition for the participation in the rental subsidy programme of year 2005, as far as the retired beneficiaries of the OEK are concerned. The long-term unemployed beneficiaries of the OEK, as long as their unemployment and its duration are ascertained, are provided with a rental subsidy for the period of time during which they receive an OAED benefit, as well as for another two years following the termination of the benefit payment.

5.2 Calculation of the amount of the benefit

5.2.1 Calculation of the gross benefit (per month)

Single persons and couples	115€
Couples with one dependent child	140€
Couples with two dependent children	165€
Couples with three dependent children	215€
Couples with four dependent children	215€

The amount of the benefit increases by 25€ per month for each dependent child beyond the fourth child.

The abovementioned amounts of rental subsidy increase by 50% for the following OEK beneficiaries participating in the 2006 rental subsidy programme, depending on the category they belong to:

Long-term unemployed persons, as well as beneficiaries who became unemployed due to the denouncement of their contract of employment in the year 2006

Unemployed beneficiaries who moved from their permanent residence and found work in other Prefectures in the year 2006

Beneficiaries whose net family income is less than 7.500€ in the fiscal year 2006.

5.2.2 Income and earnings disregards

The rental subsidy is granted to low-paid beneficiaries whose annual net family income does not exceed 11.000€ in the fiscal year 2006. This amount increases by 2.000€ for each dependent child.

Any kind of net income from any source, as seen in the tax return of the fiscal 2006, apart from: the lump sum compensation due to dismissal, the compensation paid by an insurance company due to an accident, the unemployment benefits, the interests of bank deposits, the paraplegic – quadriplegic benefits, the three-children benefit, the blindness benefit, the total disability benefit, the benefit for families with more than four children, the rental subsidy paid in the previous year, the confinement benefit, back pension of the previous year, the income deriving from the sale of assets in the previous year, the Pensioners' Social Solidarity Benefit (EKAS) and the amount paid as subsidy for the participation in further education and training programmes, is regarded as annual family income.

5.3 Tax treatment of the benefit

No taxation is imposed on the benefit.

5.4 Benefit duration

The scheme has a one-year duration and is paid once as a lump sum.

The scheme is repeated every year, as long as the requirements set are met every time.

5.5 Treatment of special groups

Provision of financial assistance from the Special Solidarity Fund (EKA) of the OEK to its beneficiaries, who are unable to pay off their debts resulting from housing loans or the price of a house, due to pressing social and financial needs, e.g., long-term unemployment, serious health problems of the beneficiary or his dependants, damages caused by natural disasters, etc. The above assistance is paid in two six-month installments.

Also, the provision of financial assistance from the EKA has extended to cover owed installments of bank loans, with a rental subsidy by the OEK, to its beneficiaries employed by employers, who have gone bankrupt. The said financial assistance is provided for the period starting as soon as wages stop being paid, as stipulated in the decision on bankruptcy, and up to the date, when the denouncement of the contract of employment is served by the trustee in bankruptcy.

6. Family allowances

A general scheme is applied, which is supplemented by the employer.

6.1 Condition for receipt

Children must be under 18 years of age or under 22 years of age, in case of students. They must be single and reside either in Greece or in other EU Member State. The preconditions for receiving the family allowance is that the beneficiary must have actually worked for fifty days in the year preceding to that in which the relevant application is submitted.

6.2 Calculation of the amount of the allowance

6.2.1 Calculation of the benefit amount

(General scheme)

The amounts of allowances, as readjusted for the year 2006, have been formulated as follows:

1 child	8,22€
2 children	24,65€
3 children	55,47€
4 children	67,35€
For each additional child	11,298€
Adding:	
For each third child (born after 1/1/1982.)	2,93€
There is a special allowance for parents with more than 3 children	
3 rd child (up to the age of 6)	159,82€ monthly
Families with 4 or more children	39,95€ monthly per child
Life-long pension to mothers with more than 3 children	91,91€ monthly

The employer usually pays each worker (married or not) with 5% of the gross income adding 10% for the spouse. The amount paid for the spouse is independent of her status of employment and income.

In the year 2006, Act No 3454/2006 was published, by virtue of which the mother, who gives birth to a third child or more from 1/1/2006 onwards, is granted an allowance amounting to 2.000€.

6.3. Tax treatment of the allowance

General scheme: No taxation is imposed on the allowance.

The allowance is added to the gross income prior to the imposition of tax.

Tax is imposed on 10% of the amount of allowances granted for the third and the fourth child, separately from any other income and with the possibility that these allowances might be included in the tax return and a tax be imposed on them by virtue of the general provisions of article 9 of Act 2238/1994 (para4 of article 57 of Act 2238/1994).

6.4 Treatment of special groups

The amounts of allowances increase by 3,67€ per month for each child in the following cases:

For not recognized children born out of marriage

For children with disabilities

For parentless orphans

When the beneficiary is a widow

When the beneficiary has a disabled spouse

When the beneficiary's spouse is a soldier

Maternity benefits: these are financial benefits, which are granted due to maternity to working women that are not able to receive them from their insurance or are uninsured. The said benefits are granted for a period of six weeks prior to the childbirth and aim at securing satisfactory living standards. These benefits amount to 440,20€ (220,10€ before the childbirth and 220,10€ after it).

Support of unprotected children scheme: through this scheme, a monthly benefit of 44,02€ is paid to each unprotected child up to age of 16, provided that the monthly income of the family that the child is living with does not exceed the amount of 234,78€ for a three-member family (this amount increases by 20,54€ for each member of the family beyond the third one).

7. Child care benefits

The Workers' Home Organization [OEE] (Public Body Corporate supervised by the Ministry of Employment and Social Protection) operates 22 model Infant Nurseries and is currently considering the operation of another seven (7). Seven (7) of these OEE Infant Nurseries are situated in the Attica Prefecture and fifteen (15) are situated in large provincial towns and Municipalities, whose population mainly comprises working people, as follows: Attica Infant Nurseries in the Municipalities of Agia Varvara, Aspropyrgos, Ano Liosia, Elefsina, Keratsini, Moschato and Peristeri. Provincial Infant Nurseries in the towns of Agrinio, Arta, Drama, Igoumenitsa, Ioannina, Kalamata, Karpenissi, Komotini, Messolongi, Naousa, Xanthi, Patra, Pylea Thessalonica, Serres and Trikala.

The said Nurseries operate in buildings owned by OEE, which are constructed with a view to functioning as places of pre-school education, complying with all safety, hygiene and operational standards. The total surface area of these buildings is 23.500 square meters and they are mainly ground floor buildings. Their material and technical equipment is in accordance with the standards of modern pedagogic and serves the purpose of pedagogic

programmes and activities in the nurseries. They deal with children of preschool age, aged from 8 months at the time of enrollment (ten months old when they actually start going to the nursery) up to school age; also, they deal strictly with children, whose parents are beneficiaries of the OEE benefits.

During the school year 2005-2006 the said **Nurseries** hosted approximately 1.191 infants. 104 educators of two-year, four-year and five-year education and 114 persons as administrative and assistant personnel (administrator, social worker, etc) were employed. The operational costs (catering-minor expenses-gifts for children) of the OEE Infant Nurseries for the fiscal year 2006 amount –up to today- to 1.005.127,48Euro.

The 22 OEE Infant Nurseries continue to operate, as follows:

Attica Nurseries in the Municipalities of Agia Varvara, Aspropyrgos, Ano Liosia, Elefsina, Keratsini, Moschato and Peristeri.

Provincial Nurseries in the towns of Agrinio, Arta, Drama, Igoumenitsa, Ioannina, Kalamata, Karpenissi, Komotini, Messologi, Naousa, Xanthi, Patra, Pylea Thessalonica, Serres and Trikala.

The Infant Nursery in the Olympic Village will operate in September 2006 and has already accepted applications for infants.

Furthermore, the following Infant Nurseries are included in the OEE's construction scheme:

Menidi Infant Nursery – to be delivered in 2006

Larissa Infant Nursery – contract signed – to be delivered in 2007

Haidari Infant Nursery – contract signed – to be delivered in 2007

Ilion Infant Nursery – to be awarded (has been put out to tender)

Kavala Infant Nursery – to be put out to tender (in 2006)

Karditsa Infant Nursery – to be put out to tender (in 2006)

Argostoli Infant Nursery – to be put out to tender (in 2006)

Pyrgos Infant Nursery – various arrangements concerning the plot

Ilioupoli Infant Nursery – procedure of acquiring a plot

7.1 Out-of-pocket childcare fees paid by parents

In order to improve the living conditions of the children and the standards of services offered, parents pay catering expenses depending on their family income.

The national guidelines for 2006 put forward the formulation of monthly catering expenses, as follows:

Family income (in Euro)	Catering expenses (in Euro)*
Up to 5.898,41	Free
5.898,41 – 8.804,11	20,54
8.804,11 – 11.738,81	26,41
11.738,81 – 14.673,51	35,22
14.673,51 – 17.608,22	44,02
17.608,22 – 20.542,92	52,82
Over 20.542,92	64,56

* half expenses are paid for the second child.

Families with more than three children and parents with disabilities (more than 67%) are exempt from the obligation to pay catering expenses when their income is up to 20.542,92Euro (when the income is more than 20.542,92Euro, the expenses for the third child are 20,54Euro and 10,27Euro for every child beyond the third one).

7.2 Child-care benefits

In virtue of para5 of article 1 of Act 3296/2004, the tax relief of 15% on the expenses for Day and Infant Nurseries has been repealed.

8. Allowances depending on employment

None.

9. Allowances for single-parent families

There is a fixed allowance for children without financial support. Please, refer to family allowances.

10. Tax system

10.1 Income tax schedule

10.1.1 Tax allowances and credits

Standard tax reliefs

Tax reliefs on social security contributions: contributions to social insurance institutes are not considered taxable income.

Main Non-Fixed Tax Reliefs: such tax reliefs concern the actual expenses incurred and are subject to a ceiling.

Non-standard tax reliefs

Main Non-Fixed Tax Reliefs relating to actual expenses: Expenses deducted from the total net income, which are subject to a ceiling

Donations to the State, the municipalities and the communities, the State Universities, the church and other public institutions, as well as similar private non-profit making legal entities, provided that they exceed 100€.

Donations to private legal entities dealing with cultural activities may be deducted by up to 10% of the total taxable income.

Bank interest on loans on mortgage and on housing loans, when the loans have been used for the acquisition of main residence and taken up to 31 December 2002.

Expenses on life / death insurance and insurance against accidents or diseases with a ceiling of 1.100Euro. These include expenses paid annually on the insurance of children whose parents are divorced.

The amount paid for rent by the taxpayers for their main residence, in case of move, apart from the Attica and Thessalonica regions, for the first five years and on condition that the tax payer is under 40 years of age. Also, the amount paid for rent by a public servant for his/her main residence, in case of secondment. The monthly rent must not exceed the amount of 300Euro.

20% of the amount – and up to 3.000Euro – paid for mutual funds invested in Greek bonds and stocks listed in the Athens Stock Market will be deducted for a period of 5 years.

20% of the amount – and up to 500Euro – paid for the installation of a natural gas and a solar energy system.

Non-Fixed tax reductions relating to actual expenses

20% of expenses for medical and hospitalization care of the taxpayer and the dependent members of his/her family up to the amount of 6.000Euro. Such expenses are the amounts paid by the taxpayer to social insurance bodies for health reasons requiring continuous medical care.

Medical and hospitalization expenses for children protected by the taxpayer, even in the case when these are paid by one parent, who does not live with them due to divorce from the other parent, are also included.

20% of the total annual amount paid for the rent of main residence, which, however, does not exceed 1.100Euro, on condition that the taxpayer does not own a house equal to or larger than the rented one in the same area and provided that the taxpayer is not granted a rental subsidy.

20% of the expenses made by the taxpayer or his/her protected children for private schools or private foreign languages schools or tutoring with a view to improving the school performance, up to 1.100Euro at the most per child. Expenses paid by divorced parents are also included.

20% of the annually paid interests on loans on mortgage taken from 1 January 2003 onwards for the taxpayer's main residence. This percentage is decreased when the subsidized amount exceeds 200.000Euro.

20% of the alimony paid to a spouse and is awarded / or agreed upon by means of a notarial act. The tax reduction cannot exceed the amount of 3.000Euro.

A reduction of 60Euro for each dependent child of the taxpayers with an income earned through the provision of services or taxpayers residing in certain near-border areas or on specific islands for at least nine (9) months a year.

10.1.2 Definition of taxable income

Gross income minus tax exemptions.

10.1.3 Tax schedule

Basic tax scale

Income Category	Tax Rate (%)
Up to 11.000	0
From 11.000 to 13.000	15
From 13.001 to 23.000	30
23.001 or more	40

The tax-free amount of 11.000Euro for the permanent residents of islands with a population up to 3.100 people increases by 50%, i.e. to 16.500Euro.

Since 2003, tax reductions that were granted in the past for dependent children have been replaced with a broader zone of tax-free income granted to persons, whose income is earned through employment and who have dependent children.

The tax-free income of persons with dependent children increases by 1.000Euro to 12.000Euro (one dependent child), by 2.000 to 13.000 (two dependent children), by 10.000Euro, i.e. to 21.000Euro (three dependent children) and by another 1.000Euro for every child beyond the third one. The next income scales are readjusted respectively.

10.2 Treatment of family income

Married persons (spouses) are taxed separately on their own separate income, but are required to submit a joint tax return.

10.3 Social insurance contribution scale

The average contributions rate paid by workers to social insurance bodies is calculated on their gross income as follows:

IKA – ETAM: 9,22%

ETEAM: 3%

Other social insurance bodies: 3,78%

The maximum gross annual earnings on which contributions paid to IKA – ETAM are calculated, as far as old insured persons are concerned (i.e. those insured for the first time until 31/12/1992) amount to 2.226,00 x 14 = 31.164,00Euro for the year 2006. As far as persons insured for the first time from 1/1/1993 onwards are concerned, the respective maximum gross annual earnings for the year 2006 amount to 5.076,56 x 14 = 71.071,84Euro.

11. Part-time employment

11.1 Special rules governing financial assistance to the part-time employed

The earnings of the part-time employed who work for less than 4 hours daily increase by 7,5%.

This provision aims at supporting the part-time employed with less than 4 working hours daily and promotes the greater participation in the labour market, especially of young persons and women, i.e. persons for which this type of employment is the only possible due to educational, family or other obligations.

A prerequisite for the application of the above is that the part-time employed be offered the minimum fixed remuneration provided for in the existing provisions.

The Ministry of the Interior subsidizes the first degree OTA of the Country from transferred credits of the State Budget, so that they cover payroll expenses of part-time employed staff hired for the realization of the OTA approved plans, as well as Public Bodies Corporate supervised by the OTA, for the provision of social services.

To this end, 473 first degree OTA of the country were subsidized with the amount of 30.000.000,00Euro in 2005, while up to July 2006, 600 OTA have been subsidized with 57.068.028,00Euro.

11.2 Special rules concerning taxation and social contributions regarding part-time employment

None.

12. Developments in the field of politics

None.

ANNEX – ADDITIONAL INFORMATION ON NURSERIES

The Ministry of Health and Social Solidarity founded and financed from the State Budget 1.306 State Day Nurseries with a capacity of 78.000 children (from the age of 2,5 years up to their registration with the Primary School) and 132 Infant Nurseries with a capacity of 10.000 children aged 8 months and up to their registration with the Primary School, with a view to helping working parents as well as economically weak families. Children facing social problems and, for this reason, needing special social care, i.e., children whose one or both parents are dead, children of unmarried mothers, of divorced or separated parents, families with more than three children, parents with physical or mental disability, etc, have priority in their enrollment to the said nurseries.

The possibility that State Day Nurseries and Infant Nurseries may be established is provided for in the provisions of article 13 of Emergency Act (2/11/1935) respecting State Day Nurseries (Official Gazette 527/A), and, in that case, the issue of a Presidential Decree was necessary on proposal of the competent Ministers.

In order to improve the living conditions of children and the services provided to them, parents paid catering fees depending on their family income.

It is pointed out that all State Day Nurseries and Infant Nurseries came *ipso jure* under the OTA, according to the provisions of article 12 of Act 2880/2001 (O.G.9/A/30-1-2001), and now operate as municipal and community Private Legal Entities under article 203 of Presidential Decree 410/1995 (Municipal and Community Code).

The operation of the new Municipal Legal Entities (former State Day Nurseries) is regulated by an Operation Regulation, which is drawn up by the pertinent Municipal or Community Councils and is based on the Model Operation Regulation that has been issued by joint decision of the Ministers of the Interior, Public Administration and Decentralization and of Health and Welfare and is approved by decision of the General Secretary of the Region.

In view of the above, the Ministry of the Interior, Public Administration and Decentralization (Directorate of Organization and Operation of the OTA, 27 Stadiou Street, 101 83 Athens) is competent for issues of supervision and inspection of the said municipal legal entities.

It is noted that an Inspectorate Body for Health and Welfare Services (SEYYP) was set up within the Ministry of Health and Welfare by Act 2920/2001 (O.G.131 volume A). The said Body may, *inter alia*, intervene in the first degree OTA Services, in the field of Welfare, in order to ascertain the quality and sufficiency of facilities and equipment, as well as in order to take the necessary safety measures for the children's and the personnel's healthy living conditions.

Furthermore, 164 Day Nurseries and Infant Nurseries were operated by bodies supervised by the Ministry of Health and Social Solidarity (National Foundation for the Protection of Mother and Child [PIKPA], National Welfare Organization [EOP], Infants' Centre "MITERA", Institution of Athens Infant Nurseries, Institution of Thessalonica Infant Nurseries and Institution of Larissa Infant Nurseries), which were financed by the State Budget.

These Nurseries, in accordance with article 8 of Act 3106/10-2-2003 (O.G.30 vol.A) on the "Reorganization of the National Social Care System", are now under the competency of the municipalities and communities, in whose administrative region they operate.

The personnel employed in the nurseries is hired in accordance with the standard procedures applying to the hiring of personnel in the Public Sector.

39 Nurseries have been founded and are operated by Charities (non-profitable), some of which are subsidized symbolically by the State Budget.

Also, approximately 1090 Private Day and Infant Nurseries operate (private enterprises).

The Nurseries founded by Charities, as well as the Private Day and Infant Nurseries, operate upon relevant license issued by decision of the Prefect of the local Prefecture, in accordance

with the prerequisites set by Ministerial Decision No.P2b/oik.2808/97 (O.G.645/B/97), as amended and supplemented subsequently.

The personnel employed in these units is hired by persons or legal entities, in the name of which the operation license has been issued; the hiring of said personnel is approved by decision of the Directorate or the Section of Public Welfare of the local Prefecture.

The inspection concerning the smooth operation of these units is carried out by the competent services of the Prefecture pursuant to the provisions of article 1 of Act 2345/1995 (O.G.213/A/95).

Finally, we would like to inform you that, according to the Joint Ministerial Decision No.4036/2001 (O.G.1128/B/2001) of the Ministers of the Interior, Public Administration and Decentralization, of Labour and Social Security and of Health and Welfare, as it was amended subsequently, the Regional Operational Programmes (PEP) and the Operational Programme "Employment and Vocational Training" that have been approved within the Third Community Support Framework, also include actions respecting - as far as the PEP are concerned - the operation of new structures or new sections in existing infant nurseries structures or infant nurseries of integrated care [BSOF] (department of infants with disabilities) or day nurseries or Centers for the Creative Activities of Children (KDAP) or / and Centers for the Creative Activities of Children with Disabilities (KDAP MEA); as far as the Operational Programme "Employment and Vocational Training" is concerned they include the continuation or even the expansion of operation of the already existing structures, which were co-financed by the European Social Fund within the Second Community Support Framework.

Today, 396 structures operate within the Operational Programme "Employment and Vocational Training"; these structures employ 1.972 persons and provide services to approximately 50.000 people (old people, children and people in need of assistance). At the same time, 1.120 structures operate within the PEP; these employ 4.400 persons and provide services to another 50.000 people. More specifically:

Year 2005

Expenses: 33.764,6111Euro

Persons employed in existing structures: 1.811

Persons employed in new structures: 161

Year 2006

Expenses (up to 28/7/2006): 115.189.706,44Euro

Persons employed in existing structures: 1.811

Persons employed in new structures: 161

The competent bodies for the management and the implementation of the aforementioned actions are, in accordance with Act 2860/2000 (O.G.261/A/2000), the Special Management Services of the Country's Regions, to which the relevant applications of the final beneficiaries of these actions are submitted, i.e. the OTA enterprises and the Inter-Municipal enterprises and the civil companies set up by the OTA and aim at the social development or welfare or have an objective relevant to the above.

For the year 2005, 555 OTA of the Country were subsidized to cover their operational costs and primarily the salaries of the Day and Infant Nurseries' personnel, as stipulated by Act 2880/2001, with the amount of 199.072.658,27Euro, while 134 OTA were subsidized to cover the abovementioned expenses of Legal Entities and Services, as stipulated by Act 3106/2003, including the expenses of Day and Infant Nurseries, with a total amount of 42.472.482,95Euro.

During the current year and up to July 2006, the following amounts have been paid:

155.827.653,02Euro for Legal Entities under article 12 of Act 2880/2001, 31.799.037,64Euro for Legal Entities under article 8 of Act 3106/2003, while, for the first time, 7.207.900,00Euro was provided for and has been paid to cover the operational costs of day

nurseries set up on OTA's initiative, having taken into consideration the number of children hosted by them.